CREDIT PROPOSAL — REFERENCE (BUSINESS REQUEST, CREDIT COMMENTS, RECOMMENDATION)

Dar Al Naseem Medical Supplies Co. · Renewal + increase
Date 13/10/2026 · RM Nawaf Al-Otaibi

Key details

Unit / branch:	Corporate Banking — Central Region / Riyadh Olaya Branch
Customer:	Dar Al Naseem Medical Supplies Co.
CIF / base no.:	CB09001
Group:	Naseem Holding Group (CG9001)
Date account opened:	02/05/2017
Related / connected party:	Yes — Naseem Lab Systems Co. (CIF CB09005, sister company)
Date:	13/10/2026
AO / RO:	Nawaf Al-Otaibi / Abeer Al-Omari
Purpose code:	WC-01 Working capital (trade)
Request type:	Renewal + increase
Review date:	30/11/2026
Industry code:	G4646 — Wholesale of pharmaceutical and medical goods
Collateral code:	RE — Real-estate mortgage
Rating (existing / proposed):	BBB / BBB
CR number:	1010384527

1. Action requested

Renew the working-capital facilities of SAR 95.0m approved under CC/2025/031 dated 20/02/2025 and increase them to SAR 140.0m (short-term Murabaha SAR 40.0m to 65.0m, letters of credit SAR 30.0m to 40.0m, trust receipts SAR 15.0m to 25.0m, letters of guarantee SAR 10.0m unchanged), with the warehouse term loan (SAR 6.5m) running off; total facilities SAR 146.5m; group cap SAR 110.0m to SAR 155.0m.

2. Facilities

Facility (SAR m)	Existing	Outstanding	Proposed	Cash margin	Particulars
Short-term Murabaha	40.0	39.6	65.0		3M SAIBOR + 1.75%, floor 5.75%; Up to 120 days per draw
Letters of credit (sight / usance 90 days)	30.0	18.4	40.0	10%	Comm. 0.25% p.q.; Usance up to 90 days
Trust receipts	15.0	14.8	25.0		3M SAIBOR + 1.75%, floor 5.75%; Up to 120 days
Letters of guarantee (tender, performance)	10.0	3.1	10.0	10%	Comm. 0.60% p.a.; Up to 24 months
Term loan (warehouse), amortising	6.5	6.5	6.5		3M SAIBOR + 2.00%, floor 6.00%; To 01/2030; Not renewed; runs off
Total facilities	101.5	82.4	146.5		

Study fee 0.20% of the increase of SAR 45.0m (SAR 90,000); documentation fee SAR 5,000. Murabaha and trust receipts at 3M SAIBOR + 1.75% (floor 5.75%), unchanged; Al Rimal Commercial Bank prices its Murabaha at 3M SAIBOR + 1.90% (offer letter ARCB/RUH/26/118 of 10/02/2026).

3. Security and support

- Working-capital limits (SAR 140.0m): personal guarantees of Fahad Saad Al-Naseem (net worth SAR 121.2m, statement 31/08/2026) and Majed Saad Al-Naseem (SAR 48.1m, 31/08/2026) — existing; corporate guarantee of Naseem Holding Co. — existing; promissory note SAR 146.5m (new, replacing SAR 101.5m).
- Letters of credit and guarantee: cash margin 10%; LCs issued to the order of the Bank, goods insured with the Bank as loss payee — existing.
- Warehouse term loan (SAR 6.5m) and all limits: first-degree mortgage over the warehouse, plot 18/4, Second Industrial City, Riyadh (deed 310118004427; market value SAR 31.5m, forced-sale value SAR 24.0m, valuation 14/08/2025); insurance SAR 28.0m to 28/02/2027, the Bank loss payee — existing.

4. Terms and conditions

1. Working-capital limits: Murabaha drawn against invoices of hospitals and clinics, each draw up to 120 days; no draw against invoices of related parties.
2. Working-capital limits: trust receipts settled from the sale proceeds of the financed goods, maximum 120 days.
3. Letters of credit: for imports of medical goods from the suppliers on the approved list; usance up to 90 days.
4. All limits: route not less than 75% of turnover through the Bank (12 months to 30/09/2026: 82% of the receipts of both banks).
5. All limits: audited financial statements within 120 days of year end; quarterly receivables ageing within 30 days of quarter end.
6. Status of existing conditions (CC/2025/031): 1 routing — complied; 2 audited FS — complied (FY2025 signed 21/04/2026); 3 quarterly ageing — complied; 4 inform the Bank of new related-party trading — not complied; 5 annual warehouse valuation — not complied (last 14/08/2025).

5. Group exposure

Entity	Funded existing	Total existing	Funded proposed	Total proposed	Outstanding
Dar Al Naseem Medical Supplies Co.	61.5	101.5	96.5	146.5	82.4
Naseem Lab Systems Co.	0.0	5.0	0.0	5.0	4.2
Naseem Holding Co.	0.0	0.0	0.0	0.0	0.0
Group total	61.5	106.5	96.5	151.5	86.6

References: CC/2017/052 (25/04/2017, SAR 35m), CC/2021/163 (30/09/2021, SAR 70m, cap 80m), CC/2025/031 (20/02/2025, SAR 95m, cap 110m); credit file request CFR/RUH/2026/0612 dated 13/10/2026.

6. Background

Dar Al Naseem Medical Supplies Co. (CR 1010384527, Riyadh), incorporated 15/02/2009, LLC, capital SAR 30.0m; 80% Naseem Holding Co. (Fahad Saad Al-Naseem 60%, Majed Saad Al-Naseem 40%), 20% Fahad Saad Al-Naseem. Imports and distributes medical consumables, hospital equipment and laboratory supplies to government and private hospitals; staff 214, of whom 58 Saudi (Nitaqat Medium Green, 27.1% vs 21.0% minimum).

Since 02/2025 a regional distributor, Al Tayf Healthcare Trading Est., covers the Eastern and Southern regions on 120-day terms (31.0% of FY2025 sales; as per business, a third-party distributor). Group: Naseem Holding Co. (parent), Naseem Lab Systems Co. (sister, laboratory equipment servicing). Sales FY2025: government hospitals 18.4%, private hospitals and clinics 50.6%; purchases: Nordmed Instruments GmbH, Germany 26.9% (LC 90 days usance), Pacific Rim Medical Consumables Ltd, Malaysia 19.6% (LC at sight), Gulf Surgical Supplies Co., KSA 11.2% (45 days).

Shareholder	Born	Nationality	Share	UBO
Naseem Holding Co.	—	Saudi company	80.0%	—
Fahad Saad Al-Naseem (Chairman and GM)	1965	Saudi	20.0% (68% look-through)	Yes
Majed Saad Al-Naseem (Director, via holding)	1969	Saudi	32% look-through	Yes

7. Relationship with the Bank

Customer since 02/05/2017. Credit turnover in the main account SAR 206.7m in the 12 months to 30/09/2026 (routing about 82%); utilisation SAR 75.9m of SAR 95.0m (80%) at 30/09/2026 (Murabaha 99%, trust receipts 99%, LCs 61%, LGs 31%); no past dues in the last 12 months; one cheque returned in 02/2026 (signature mismatch, regularised the same week).

Limit history: SAR 35m (2017), SAR 70m (2021), SAR 95m (2025).

Quarter	Credit turnover	Average balance	Average utilisation	Past dues	Returned cheques
Q4 2025	47.7	5.3	78%	Nil	0
Q1 2026	50.2	5.1	82%	Nil	1
Q2 2026	51.9	5.1	84%	Nil	0
Q3 2026	56.9	5.2	84%	Nil	0

8. Financials (as per audited and in-house statements)

SAR m	FY2024	FY2025	9M2026
Revenue	182.4	251.7	205.6
Revenue growth	14.8%	38.0%	—
Gross profit	44.7	58.1	46.1
Gross margin	24.5%	23.1%	22.4%
Operating profit	21.6	29.7	22.2
Net profit	15.8	21.3	15.8
Net margin	8.7%	8.5%	7.7%
EBITDA	24.8	33.3	25.1
Total assets	136.4	213.7	255.8
Bank debt, short term	34.6	80.4	106.7
Bank debt, long term	8.0	6.0	4.5
Net worth (TNW)	60.9	76.2	92.0
Leverage (TL / TNW)	1.24x	1.80x	1.78x
Gearing (bank debt / TNW)	0.70x	1.13x	1.21x
Working capital	47.9	60.5	75.0
Current ratio	1.77x	1.48x	1.49x
Operating cash flow	15.0	-35.0	-23.2

Auditor: FY2024 Basma & Partners Chartered Accountants, unqualified (signed 17/04/2025); FY2025 Basma & Partners Chartered Accountants, unqualified (signed 21/04/2026). 9M2026 in-house, prepared by Rania Yousef Khoury (unaudited).

9. RM's justification

Incorporated 2009; revenue SAR 251.7m in FY2025 (PY 182.4m, +38.0%) and SAR 205.6m in 9M2026, net profit SAR 21.3m (PY 15.8m); as per business, the distribution agreement of 02/2025 opens the Eastern and Southern regions.

Murabaha and trust receipts are 99% utilised at 30/09/2026; as per business, LC demand rises with imports (FY2025 imports 46.5% of purchases). Al Rimal Commercial Bank offers SAR 45.0m today (10/02/2026); the increase keeps the Bank at 82% of receipts. Customer since 2017, no past dues, warehouse (FSV SAR 24.0m) mortgaged to the Bank, guarantors' net worth SAR 169.3m. Business recommends approval.

Nawaf Al-Otaibi
Relationship Manager

Hind Al-Subaie
Unit Head, Corporate Banking — Central Region

CREDIT DIVISION COMMENTS

Independent review of the business request against the documents on file and the Bank's own records. Figures in SAR million unless stated; prior period in brackets.

Growth and cash: what the accounts and the Bank's data say

Revenue rose to SAR 251.7m in FY2025 (PY 182.4m, **+38.0%**). Upon checking the Bank's account data, credit turnover rose only 9% (SAR 187.9m in calendar 2025 vs SAR 172.4m in 2024). Over the 12 months to 30/09/2026 the statements of both banks show customer receipts equal to 80% of VAT-inclusive sales (normal 95-100%), while the VAT returns (standard-rated sales SAR 276.6m) match booked revenue (SAR 276.8m) for the same 12 months: the sales are invoiced but not collected.

Receivable days rose to 163 (FY2024 97) and 198 at 30/09/2026; trade receivables SAR 148.9m at 30/09/2026 (FY2025 112.3m; FY2024 48.5m). Operating cash flow was negative SAR 35.0m in FY2025 and SAR 23.2m in 9M2026, funded by short-term borrowings (SAR 104.7m at 30/09/2026 vs 32.6m at FY2024).

The distributor

Al Tayf Healthcare Trading Est. took SAR 78.0m or **31.0% of FY2025 sales** (34% in 2026 per management). It is presented as a 'third-party distributor' in the top-customers list and the request letter, but the FY2025 audited accounts (Note 15) disclose it as 'an entity owned by a relative of a shareholder', and the Bank's records show it is owned by Sultan Majed Al-Naseem, son of director Majed Saad Al-Naseem, established on 09/02/2025, a week before the agreement. The AML questionnaire declares no other related parties, and condition 4 of CC/2025/031 (inform the Bank of new related-party trading) was not complied with.

Its receivable is SAR 92.6m, **62% of trade receivables**, of which SAR 54.7m (59%) is over 90 days and SAR 19.9m over 180 days against 120-day terms. In 12 months it paid SAR 44.6m against SAR 106.3m invoiced (VAT included). Its own account with the Bank received only SAR 34.2m in the same period, less than half of what it bought: the stock is not visibly being sold on. We cannot exclude that part of the FY2025 growth is goods parked with a family-owned entity.

Group: sister company classified at another bank

Fahad Saad Al-Naseem's SIMAH report (08/10/2026) shows his guarantee of SAR 22.0m for Naseem Lab Systems Co. at Al Rimal Commercial Bank classified substandard in 07/2026 (90+ days past due from 05/2026). The same company has a SAR 5.0m LG line with the Bank (SAR 4.2m outstanding), two cheques returned unpaid in 04/2026 and 06/2026, and is rated B- (BB in 2021). The business request does not mention it. The borrower is owed SAR 5.0m by the sister (FY2024 3.1m); the risk is that cash from the borrower supports the sister.

Financials and adjusted ratios

Auditor Basma & Partners Chartered Accountants (unlisted firm, not on the Bank's panel), unqualified opinion on FY2024 (signed 17/04/2025) and FY2025 (21/04/2026); 9M2026 in-house accounts prepared by the Finance Manager, unaudited. The figures are in the business request (section 8); credit's re-performance:

Re-performed by credit	FY2024	FY2025	9M2026
Receivable days (trade receivables / revenue)	97	163	198
Inventory days (inventory / cost of revenue)	109	99	100
Payable days (trade payables / cost of revenue)	49	51	51
Cash cycle (days)	157	211	246
Trade receivables, % of current assets	44%	60%	65%
Interest cover (EBITDA / finance cost)	5.4x	4.8x	3.9x

- Gross margin 23.1% in FY2025 (FY2024 24.5%) and 22.4% in 9M2026: the distributor is sold at lower margins.
- If the distributor's receivable over 180 days (SAR 19.9m) and the amount due from the sister (SAR 5.0m) are netted off, adjusted net worth is **SAR 67.1m** (reported 92.0m) and adjusted leverage **2.44x** (reported 1.78x).
- Composition of current assets at 30/09/2026 (SAR 228.2m): trade receivables 65%, inventory 26%, cash 3%. Receivables over 90 days SAR 69.9m (47%); top 2 debtors (the distributor and the Ministry hospitals cluster) 81%.
- 9M2026 annualised: revenue SAR 274.1m (FY2025 251.7m, +9%), net profit SAR 21.1m (FY2025 21.3m), while receivables rose SAR 36.6m in nine months.
- Bank debt SAR 111.2m at 30/09/2026 (FY2024 42.6m). With the increase, funded short-term lines would reach SAR 120.0m (the Bank 90.0, Al Rimal Commercial Bank 30.0) against SAR 114.6m of receivables outside the distributor plus inventory: the increase is only covered if the distributor's receivable is counted.

Security

The warehouse valuation dated 14/08/2025 is older than 12 months (condition 5 of CC/2025/031 not complied); market value SAR 31.5m, FSV SAR 24.0m covers 16% of the proposed facilities. Guarantors' net worth: Fahad SAR 121.2m (31/08/2026), of which SAR 68.0m (55% of assets) is shares of the holding and the borrower at book value; outside the group SAR 53.2m (real estate SAR 38.1m at owner's valuation, cash SAR 11.9m, listed shares SAR 6.3m). Majed SAR 48.1m, of which SAR 35.2m (73%) is his 40% of the holding. Real-estate valuations not provided.

Credit bureau and other banks

SIMAH company report (08/10/2026, score 702, 2 enquiries in 6 months): limits SAR 146.5m with two banks, outstanding SAR 120.2m, no overdue, no defaults.

Bank (SAR m)	Facility	Limit	Outstanding	Pricing	Source
Sandstone Harbour Bank	Murabaha, LC, TR, LG, term loan	101.5	82.4	3M SAIBOR + 1.75-2.00%	Bank records = SIMAH
Al Rimal Commercial Bank	Short-term Murabaha	30.0	29.1	3M SAIBOR + 1.90%	Statement 30/09/2026 = SIMAH
Al Rimal Commercial Bank	Letters of credit	15.0	8.7	0.30% p.q.	Statement 30/09/2026 = SIMAH
Total		146.5	120.2		Reconciled

Consumer reports (08/10/2026): Fahad 731, own facilities current, guaranteed facility of Naseem Lab Systems Co. substandard; Majed 748, current. Al Rimal Commercial Bank's offer letter (10/02/2026) is secured by Fahad's guarantee only, with no mortgage: the Bank alone holds the warehouse.

Effects of the current market situation

Imports are 46.5% of FY2025 purchases (Germany 26.9%, Malaysia 19.6%). As per business, sea freight and lead times rose in 2025-26 on the Red Sea routing; inventory days are 100 at 30/09/2026 (FY2024 109), so no build-up of stock is visible. Government hospital clusters (18.4% of sales) pay in 90-120 days; a slowdown in government payments would lengthen the cash cycle further. The SAR peg removes currency risk on USD purchases; EUR purchases (Germany) are not hedged (not clarified by business).

Exceptions and other observations

- Exception: group exposure SAR 151.5m above the cap of SAR 110.0m (increase to SAR 155.0m requested).
- Existing conditions not complied: related-party trading not reported; valuation not renewed.
- Related-party sales of SAR 78.0m presented as third-party; the distributor's financials and trade licence not provided.
- What business says vs what credit could verify: 'growth of 38%' (booked; cash receipts +9%); 'third-party distributor' (owned by a director's son); 'no changes in ownership and no other facilities' (true for the borrower; the sister is classified at Al Rimal Commercial Bank).

Key strengths

- Relationship since 2017; 82% of receipts routed through the Bank; no past dues in 12 months; warehouse (FSV SAR 24.0m) mortgaged to the Bank only.
- Outside the distributor, receivables of SAR 56.3m are spread over the Ministry cluster (SAR 27.9m), two private groups (SAR 17.4m) and 212 accounts (SAR 11.0m).
- Import suppliers financed through the Bank's LCs (Nordmed 26.9%, Pacific Rim 19.6% of FY2025 purchases); LC line 61% used at 30/09/2026, no past dues.
- Fahad Saad Al-Naseem's net worth outside the group SAR 53.2m (31/08/2026).

CREDIT DIVISION RECOMMENDATION

Credit division supports the renewal but not the full increase: the growth that justifies it is booked to a family-owned distributor that pays less than half of what it buys, and the group has a classified company that the request does not disclose.

1. Renew the facilities of SAR 95.0m for 12 months and the warehouse term loan (SAR 6.5m, running off).
2. Increase limited to SAR 15.0m: letters of credit SAR 30.0m to 40.0m and short-term Murabaha SAR 40.0m to 45.0m; trust receipts unchanged at SAR 15.0m; total facilities SAR 116.5m (requested 146.5).
3. Murabaha and trust receipts under a monthly borrowing base: 80% of receivables under 120 days excluding the distributor and related parties, plus 50% of inventory.

4. Group exposure cap SAR 125.0m (requested 155.0): borrower SAR 116.5m and Naseem Lab Systems Co. SAR 5.0m = SAR 121.5m.
5. Security as in section 3 (personal guarantees, corporate guarantee of the holding, warehouse mortgage, promissory note reduced to SAR 116.5m).
6. Internal rating: credit proposes BBB- (business: BBB unchanged) for the related-party concentration and the classified sister.
7. Naseem Lab Systems Co.: freeze the LG line at the outstanding SAR 4.2m; no new issuance; Early Warning watch.
8. Approval authority: Credit Committee.

Additional conditions (prior to limit loading unless stated)

a) Prior to limit loading: written disclosure of Al Tayf Healthcare Trading Est. as a related party with its trade licence, ownership and 2025 accounts; RM to visit its Dammam warehouse.
b) Prior to limit loading: new warehouse valuation by a panel valuer.
c) Distributor receivable reduced to SAR 60.0m by 31/03/2027; sales to it beyond that on cash or LC terms; no new related-party customer without the Bank's consent.
d) Group to provide the regularisation plan of Naseem Lab Systems Co. with Al Rimal Commercial Bank within 60 days; no advances from the borrower to the sister (due from capped at SAR 5.0m).
e) Monthly receivables ageing and borrowing-base certificate signed by the Finance Manager; quarterly review by the regional head.

Lama Al-Mutairi	**Abdullah Al-Zahrani**	
Credit Analyst	VP Credit	Chief Credit Officer

CRO review / comments

Credit committee approval / instructions

Approval authority: Credit Committee.

Chairman, Credit Committee	Member	Member